

AMIS 1012

Ethics in Computing



Chapter 8: Intellectual Property



Learning Objectives

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1. To get a basic understanding of the laws governing confidential information, copyright, patents, designs and trademarks.
2. To understand current and emerging issues relating to the IP protection.



Chapter Outline

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- Introduction to Intellectual Property.
- Intellectual Property rights.
- Types of Intellectual Property.
- Issues Related to Intellectual Property.





Introduction to IP

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- INTELLECTUAL PROPERTY (IP) refers to creations of the mind: inventions, literary and artistic works, and symbols, names, images, and designs used in commerce.
- When you run a business, you must understand how to use, protect, and uphold the rights to IP that you or your company owns.



Introduction to IP

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- It is essential for a company's duty to extract income from IP and to prevent others from doing so. IP may take many different forms and sizes.
- Although IP is an intangible asset, it may be considerably more costly than a company's physical assets. Because IP may offer a strategic advantage, it is carefully guarded and protected by the companies that possess it.



Intellectual Property Rights (IPR)

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- **Intellectual Property Rights (IPR)** are rights derived from the results of human intellectual activities that have economic benefits. Intellectual Property Rights (IPR) are rights that arise from the results of the human brain's thinking that produces a product or process that is useful for human interests (Abduh, R., & Fajaruddin, F. (2021)).
- Copyrights, patents, trade secrets, and trademarks are the most popular IPRs.



Intellectual Property Rights (IPR)

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- IP includes ideas, innovations, industrial buildings, patents, music, literature, symbols, titles, labels, and other items produced by the human intellect.
- IPR enable the proprietor to benefit completely from his or her product, which started as an idea and ultimately became a reality.
- They often provide him or her the right to prevent others from using, playing with, or interfering with his or her property without his or her permission. He or she has the legal right to sue them and demand that they stop compensating him or her for any losses incurred.

Types of Intellectual Property

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- Patents
- Trademarks
- Copyrights and related rights
- Trade secrets





Types of Intellectual Property

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1. Patents

- A patent is a license given to an author on his or her product, enabling him or her to commercialize it in the industry over a fixed amount of time to the exclusion of others.
- Any fresh and beneficial thing is called “innovation.”
- Patent protection in Malaysia is governed by the **Patents Act 1983** and the **Patents Regulations 1986**.



Types of Intellectual Property

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1. Patents (cont.)

- Under the Act and Regulations, an application for a patent can be made directly in Malaysia and registration is effective for the whole of Malaysia.
- Similar to the provisions in the legislations of other countries, an invention is patentable if it is new, involves an inventive step and is industrially applicable.
- The Act provides that a patent shall expire 15 years after the date of its grant. The owner of a patent has the right to exploit the patented invention, to assign or transmit the patent, and to conclude license contracts.



Types of Intellectual Property

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2. Trademarks

- Trademark - A trademark is a sign capable of distinguishing the goods or services of one enterprise from those of other enterprises. Trademarks are protected by intellectual property rights.
- **Trademarks Act 2019** – An act to provide the registration of trademarks in relation to goods and services, and to implement the relevant treaties and for other matters connected therewith.



LAWS OF MALAYSIA

Act 815

TRADEMARKS ACT 2019



Types of Intellectual Property

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2. Trademarks

- Before registering a trademark, you must do a thorough research. There are 5 spectrums of trademark based on strength or distinctiveness:
 - Generic
 - Descriptive
 - Suggestive
 - Arbitrary
 - Fanciful/ Coined



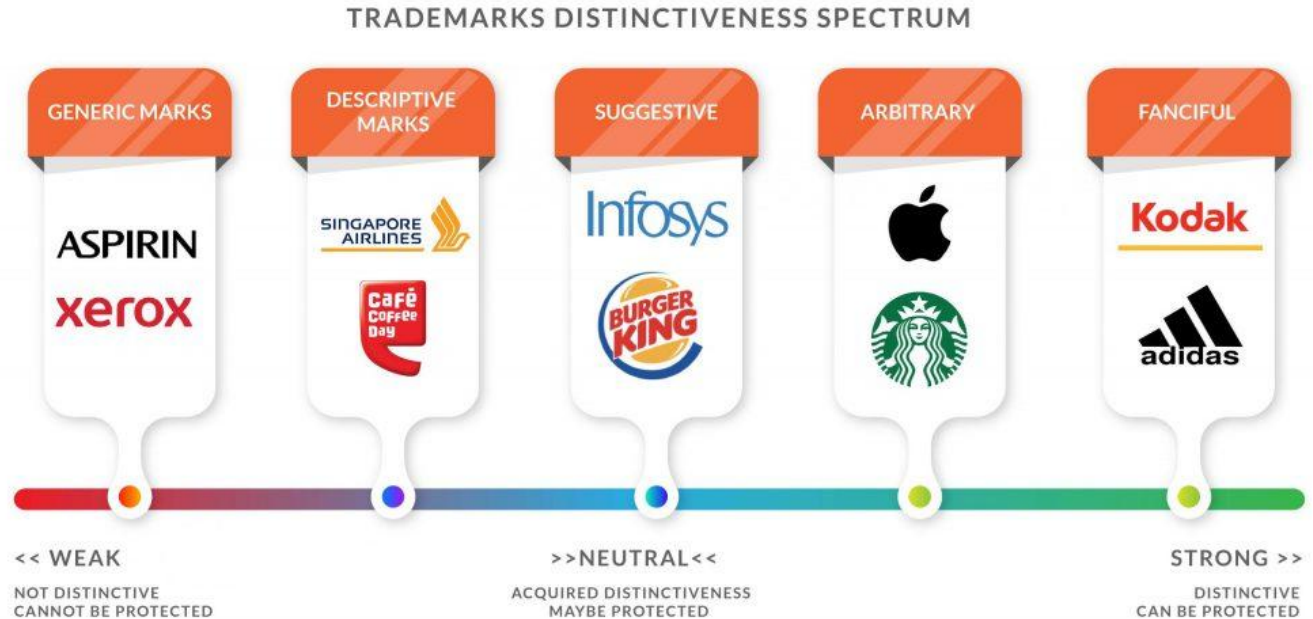
Types of Intellectual Property

2. Trademarks (cont.)

Spectrum	Description
Generic	Common term associated with products or services. Highly difficult or impossible to register and enforce. Eg: CLOCK
Descriptive	Directly identifies the nature of products and services. Eg: COLD AND CREAMY (ice cream)
Suggestive	Indicates some quality - but doesn't directly describe the associated products or services. Eg: SWEETARTS
Arbitrary	Has common meaning but applied to a product or service that is unrelated to that meaning. Eg: BLACKBERRY
Fanciful/ Coined	No meaning other than as a trademark. Easier to register and enforce. Eg: KODAK

Types of Intellectual Property

Trademarks spectrums



Source: <https://selvams.com/blog/types-of-trademarks-the-super-mark/>

Types of Intellectual Property

Trademarks spectrums



Types of Intellectual Property



Trademarks (cont.)



Trademark, copyright infringement still occur despite wider awareness of IP rights

By Bernama - April 26, 2024 @ 8:49am



<https://www.nst.com.my/news/nation/2024/04/1042766/trademark-copyright-infringement-still-occur-despite-wider-awareness-ip>



Types of Intellectual Property

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3. Copyrights and related rights

- **Copyright** - The legal right of an author, artist, or creator to commercially exploit his or her original work that has been expressed physically. It also includes the right to prevent such material from being reproduced or reused without his or her consent.



Types of Intellectual Property

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3. Copyrights and related rights (cont.)

- **Malaysia Copyright Act 1987 (cont.)** - The act is the primary legislation that governs copyright protection in Malaysia, and it outlines the rights and obligations of creators and copyright holders, including the remedies available in matters of copyright infringement.
- To ensure that copyright protection in Malaysia is in line with global standards and provides the same protections in other countries, the act is drafted based on international copyright standards, including the Berne Convention for the Protection of Literary and Artistic Works.



Types of Intellectual Property

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3. Copyrights and related rights (cont.)

- The consolidated version, which includes amendments up to the **Copyright (Amendment) Act 2012** (Act No. A1420), reflects the continuous updates made to accommodate evolving copyright needs.



Types of Intellectual Property

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3. Copyrights and related rights (cont.)

- **The Malaysian Copyright (Amendment) Act 2022:** Aims to comply with international standards and practices in the Regional and Comprehensive Economic Partnership Agreement, the Marrakesh Treaty, and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership.
- It strengthen provisions relating to the enforcement of copyright, especially in the digital environment, by introducing offences involving streaming technology in line with the development of online content streaming.



Types of Intellectual Property

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How long does copyright protection last?

- Copyright terms differ from country to country. In Singapore, US and the EU countries for instance, copyright lasts for the life of the author plus 70 years.
- Meanwhile, in Malaysia, copyright in literary, musical and artistic works subsists during the life of the creator and continues 50 years after his/her death. This means that the estate of the deceased author, artist or designer can benefit from the copyright for a further 50 years.
- Copyright in literary, musical or artistic works is released into the public domain once the duration of the copyright expires.



Types of Intellectual Property

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Advantages of copyright protection

- **Encouraging human imagination and innovation** - Giving writers, artists, and producers benefits in the form of praise and equal monetary compensation raises their production and, in many cases, improves the outcomes.
- **Businesses and organizations can more effectively engage in the production, growth, and global distribution of works.** Subsequently, improving the enjoyment of, culture, information, and entertainment across the world, while also promoting economic and social development.



Types of Intellectual Property

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4. Trade secrets

- Trade secrets are intellectual property rights on confidential information which may be licensed or sold. Any type of confidential information that gives your business a competitive advantage and is undisclosed to third parties is eligible for trade secret protection.
- Trade secrets includes technical information, such as research and engineering data, engineering drawings, process sheets, computer software source code, and commercial information, such as marketing strategy, production data or recordings regarding commercial activity.



Types of Intellectual Property

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4. Trade secrets (cont.)

- In Malaysia, the term **'trade secrets'** is interchangeable with **'confidential information'**, with the latter term recognised officially in Malaysian law.
- Trade secrets are not eligible to be registered in Malaysia, however one can take legal action against others should their trade secret(s) be exploited.



Types of Intellectual Property

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4. Trade secrets (cont.)

- Some statutory laws in Malaysia provide indirect protection to trade secrets. For example:
 - **Competition Act 2010:** Prohibits anti-competitive behavior, including the misuse of trade secrets in certain cases.
 - **Malaysian Penal Code:** Sections on criminal breach of trust may apply to the misuse of confidential information.



Types of Intellectual Property

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4. Trade secrets (cont.)

- Even though Malaysia does not have a specific trade secrets statute like some other countries; legal mechanisms under contract law, common law, and statutory laws provide effective protection for confidential business information.



Types of Intellectual Property

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4. Trade secrets (cont.)

- Internal measures to protect trade secrets:
 - Strengthen employee agreement
 - Implement access controls
 - Address everyday practices
- External measure to protect trade secrets:
 - Non-disclosure agreements (NDAs)

Further reading: <https://www.ibanet.org/trade-secrets-life-sciences-biotechnology>



Issues Related to Intellectual Property





Issues Related to Intellectual Property

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1. Plagiarism

- Someone steals someone else's thoughts or vocabulary and claims them as their own.
- Cutting and pasting passages into term papers and other materials without adequate attribution or quotation marks.
- Plagiarism also a major issue among famous literary writers, playwrights, singers, journalists, and even software developers.



Issues Related to Intellectual Property

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1. Plagiarism (cont.)

- Plagiarism has become a problem at all stages of education, from primary school to graduate school. Even though there are codes of ethics in force that simply describe plagiarism and recommend punishments, many students actually have little understanding what plagiarism is.
- Some students claim that all electronic materials are free to use, and others intentionally plagiarize whether they are under pressure to get a good grade or because they are too tired or pressed for time to do original work.



Issues Related to Intellectual Property

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2. Reverse Engineering

- Reverse engineering is the method of examining a commercially accessible commodity explicitly to ascertain its total structure, component components, technology, and all other features that enable it to work in a legitimate transition.
- The reverse engineer examines and determines how the component was made by dismantling it.



Issues Related to Intellectual Property

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2. Reverse Engineering

- As a result of reverse engineering an existing device, a rival is able to discover production and design secrets to use in his or her own inventions.

Is reverse engineering illegal in Malaysia?



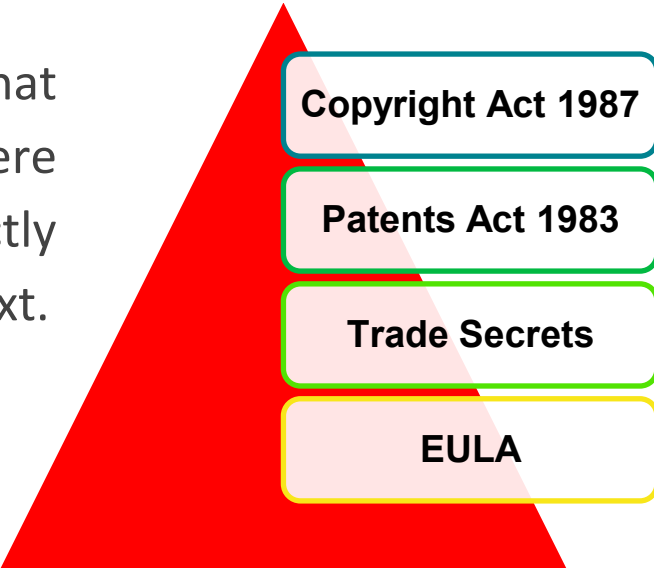


Issues Related to Intellectual Property

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2. Reverse Engineering

- Malaysia does not have specific laws that directly prohibit reverse engineering, but there are several legal frameworks that can indirectly restrict or regulate it, depending on the context.



Copyright Act 1987

Patents Act 1983

Trade Secrets

EULA



Issues Related to Intellectual Property

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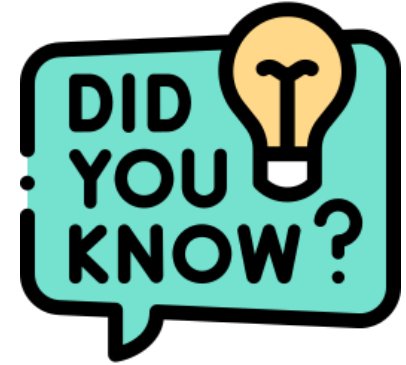
3. Open Source Code

- **Open-source software** is defined as software with publicly available source codes that can be accessed, modified, and redistributed by anyone.
- Meanwhile, **Closed source software** source codes, on the other hand, are either not disclosed to the public or are only disclosed under strict confidentiality conditions.



Issues Related to Intellectual Property

3. Open Source Code (cont.)



Google Chrome interface and Netflix's online television channels - the technological tools were based on open-source technologies



Issues Related to Intellectual Property

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3. Open Source Code (cont.)

- Open-source software helps to offer a robust and useful resource for developers and technology firms because it is publicly distributed and actively reviewed by the public.
- Before using or integrating new products into your own source codes, you can carefully research the license terms. If you want to produce proprietary software while keeping the source code private, you can contact the owner to confirm whether a proprietary license can be granted in return for royalties.



Issues Related to Intellectual Property

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4. Competitive Intelligence

- The process of applying for Intellectual Property Rights (IPR) such as patent may take a lot of time and money.
- Competitive intelligence (CI) is the process of discovering, analyzing, and gathering patent and market data.
- **Purposes:**
 - To gain insight into the industry's progress, competitors' strengths, weaknesses, innovations and intellectual property.
 - Gather information on competitors' strategies, products, and next moves.
 - Assists in identifying business risks and opportunities, as well as providing market data to aid in the development of a strategic strategy for potential growth.



Issues Related to Intellectual Property

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4. Competitive Intelligence (cont.)

- CI plays a critical role in the IPR domain assisting with decisions such as retaining and growing market share for a technology applicant, technological evaluation, obtaining licenses, monitoring top rivals and their devices, addressing technological challenges, and gathering valuable information for potential developments.



Issues Related to Intellectual Property

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5. Trademark Infringement

- Trademark infringement is the illegal use of a trademark or service mark. This may happen with goods or services, and it can lead to disinformation, deception, or uncertainty about the true source of a product or service.
- If they claim their trademarks are being infringed upon, trademark owners will file a lawsuit. A court injunction will prohibit a criminal from using a trademark if misuse is proved, and the owner may be granted monetary compensation.



Issues Related to Intellectual Property

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6. Cyber Squatting

- Cyber squatting is the process of registering Internet domains that are identical or close to a third-party business name or trademark in order to benefit from the goodwill of the third-party brand or to resell them for a profit.
- Some online fraudsters took the chances in getting huge profit by registering websites using the names of renowned businesses.



Issues Related to Intellectual Property

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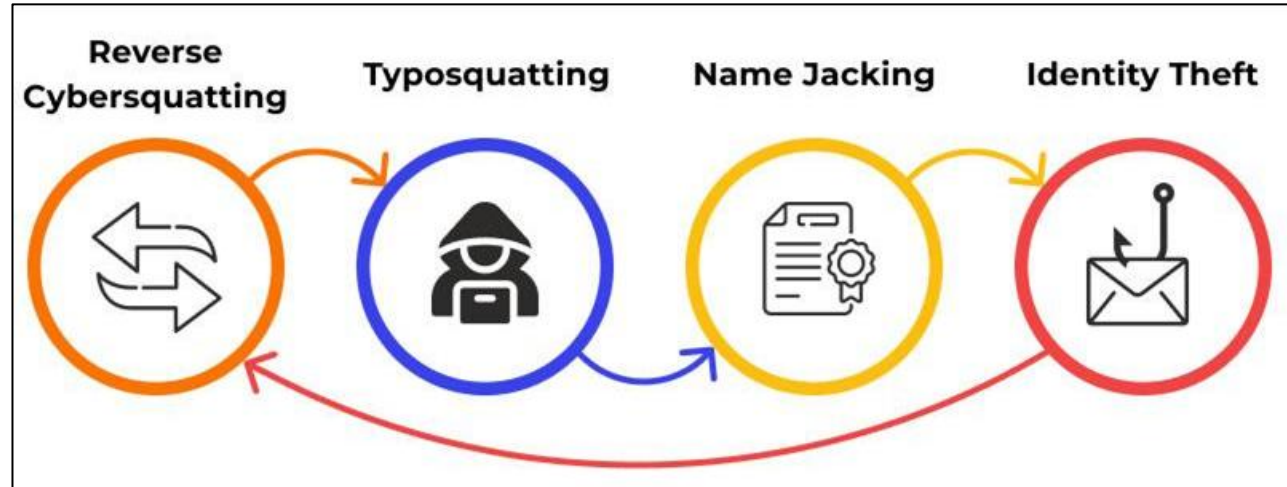
6. Cyber Squatting (cont.)

- The aim of cyber squatting is to transfer the domain name back to the copyright owner, profit from the goodwill of a third-party brand, or cyber criminals activities (eg Phishing websites, frauds, and even bogus surveys).

Issues Related to Intellectual Property

6. Cyber Squatting (cont.)

Types of Cybersquatting



Source: <https://www.wallarm.com/what/cybersquatting>



Issues Related to Intellectual Property

6. Cyber Squatting (cont.)

Types	Descriptions
Identity theft	An attacker assuming the online persona of a legitimate business by registering a domain that looks identical to the targets. Users trying to reach the company's site via the web can accidentally access the phishing domain.
Name jacking	Occurs when a squatter creates a false website using the real name of a famous person. This is frequently the situation when, for example, domains or, more maliciously, social media profiles are registered in the names of celebrities by cybersquatters.



Issues Related to Intellectual Property

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6. Cyber Squatting (cont.)

Types	Descriptions
Typosquatting	One of the most prominent types of cybersquatting involves the registration of domain names that are misspelled versions of popular brands or websites. The phony address may be very similar to the legitimate one, with just one letter changed or a hyphen added. □ The web squatter gets its name because they capitalize on people's errors. Google.com is one such alternative to Google.com.



Issues Related to Intellectual Property

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6. Cyber Squatting (cont.)

Types	Descriptions
Reverse-cybersquatting	• Domain squatting, or "reverse domain name hijacking," occurs when hackers use the rules as they currently stand to their advantage. • Hackers will begin by picking an established website, like InfinityFinance.com, as a victim. The next step is to incorporate under the same name, for example, Infinity Finance Ltd. • Once everything is in place, they will privilege that the genuine owner is web squatting utilizing the institution's name that they own, and attempt to take possession of the website in question through the use of the law.



Question?

"Ethics is knowing the difference between what you have a right to do and what is right to do." - Potter Stewart



Disclaimer:

The slide content has been sourced from the following reference books and Internet resources. Refer to the following list for more details and further reading:

1. Awari, G.K., & Warjukur, S.V. (2022). *Ethics in Information Technology: A Practical Guide*. CRC Press, Taylor & Francis Group.
2. Bently, L., Sherman, B., Gangjee, D., & Johnson, P. (2022). *Intellectual property law*. Oxford university press.
3. Abduh, R., & Fajaruddin, F. (2021). Intellectual property rights protection function in resolving copyright disputes. *International Journal Reglement & Society (Ijrs)*, 2(3), 170-178.
4. <https://www.myipo.gov.my>
5. <https://www.inta.org/fact-sheets/considerations-in-selecting-a-trademark/>
6. <https://selvams.com/blog/types-of-trademarks-the-super-mark/>
7. <https://kass.com.my/copyright>
8. <https://legaladvice.com.my>
9. <https://www.lexology.com/library/detail.aspx?g=9b881e84-ceed-49cd-ab74-ec8917c622e6>
10. <https://www.qualityoracle.com/trade-secret-protection-in-malaysia/>
11. <https://www.ibanet.org/trade-secrets-life-sciences-biotechnology>
12. <https://www.wallarm.com/what/cybersquatting>

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